WELCOME

To

The Knowledge Sharing

Online Session

Basic Concepts
on
Value Added Tax

Presented by:

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Objective

The purpose of this program is to provide the participants basic knowledge regarding the features of the VAT and SD Act, 2012, the automated VAT environment and VDS.

Contents of the Training

1. VAT Act-1991
2. VAT & SD Act-2012
3. Process of Value Added Tax (VAT)
4. VAT Return Submission procedure;
5. Challan Preparation Procedure

Contents of the Training

6. VAT Deduction at Source (VDS)

a) What is VAT at source?
b) Who should deduct VAT at source?
c) Where VAT is to be deducted at source?
d) Rates of VAT deduction at source;
e) Special Procedures regarding Procurement Provider;
f) Formalities for the supplier of goods and services;
g) Formalities for the deducting authorities;

V

- Value

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- Added

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- Tax

Background of VAT

What is VAT

VAT is an indirect and consumption tax, which is charged on 'increased value' of goods and services at each stage of Import, Manufacturing, storage, sales and distribution process.

According to the **provisions of section 3 of the VAT Act 1991**, VAT is imposed on the following goods and services:

(a) all goods imported in Bangladesh except those goods mentioned in the First Schedule of the VAT Act;

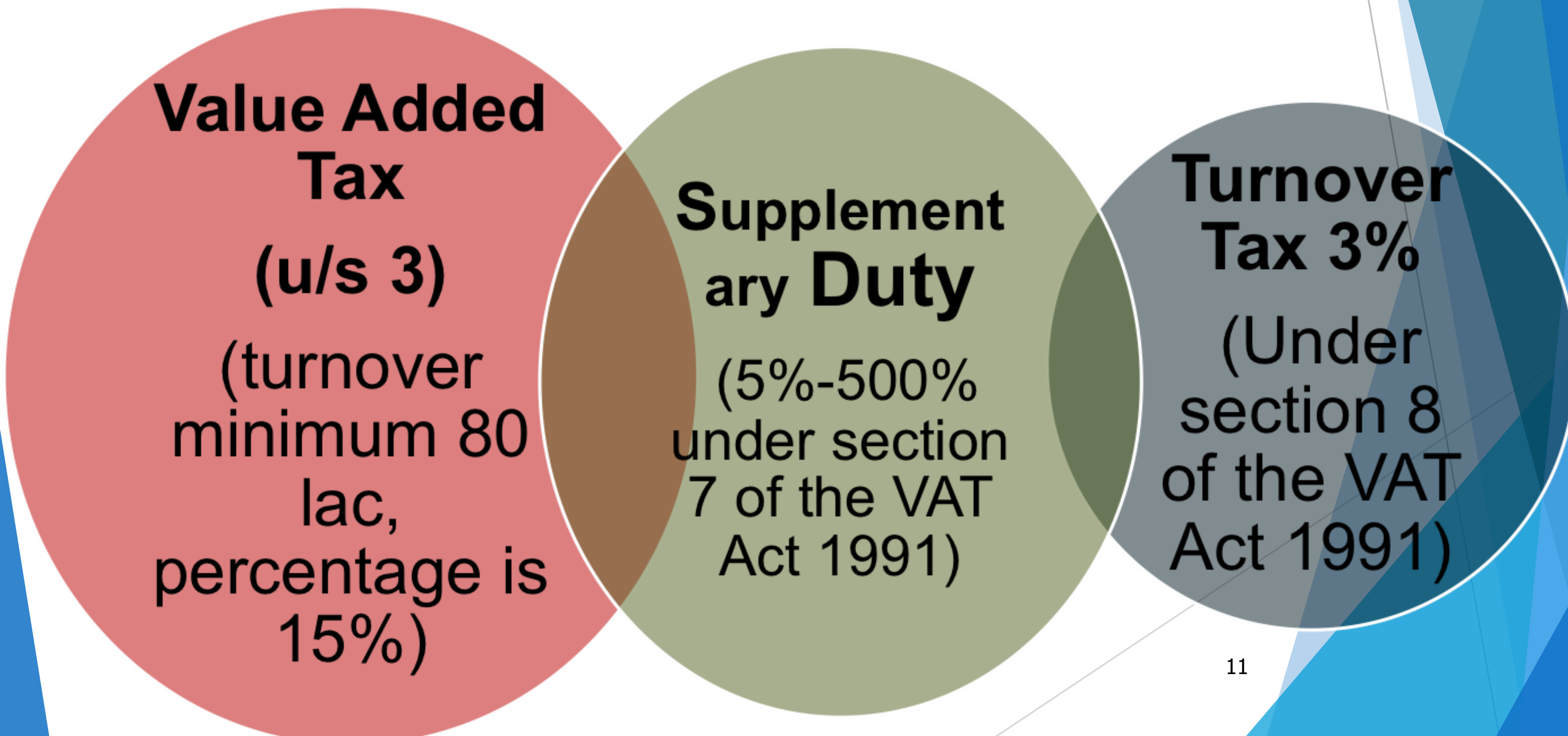
(b) all goods supplied except those goods mentioned in the First Schedule of the VAT Act;

(c) all services provided in Bangladesh except those services mentioned in the Second Schedule of the VAT Act.

VAT Act-1991

Types of VAT

Under the VAT Act 1991, there are three types of taxes that are imposed upon businesses where applicable.
Supplementary Duty (Section 7 of VAT Act 1991)
Turnover Tax (Section 8 of VAT Act 1991)



Calculation of VAT

VAT Chargeable Base

= Import duty chargeable base + Import Duty + Supplementary Duty + Other taxes + Penalties at import stage + Commissions + Charges + Bank interest + Transportation costs + Remuneration + Depreciation of machineries + Cost of raw materials + Profit

Calculation of VAT

AV = Assessable Value

(1) C&F Value = Cost of goods & Freight Charges

(2) CIF = Cost, Insurance & Freight

(3) FOB = Free on Board (cost of goods only)

CD = Customs Duty

= AV X CD Rate

RD = Regulatory Duty

= AV X RD Rate

SD = Supplementary Duty

= (AV +CD +RD)XSD Rate

VAT = (AV +CD +RD+SD)X VAT Rate

Mushak Form

1. Mushak-1: Price Declaration
2. Mushak-1ka: Price Declaration of Tariff Items
3. Mushak-1kha: Price Declaration for Standard Traders
4. Mushak-1ga: Price Declaration of Exempted and Exportable Items
5. Mushak-1gha: Price Declaration of two-third of MRP Basis
6. Mushak-2kha: Annual Declaration of Turnover Tax
7. Mushak-4: Return Submission of Turnover Tax
8. Mushak-5: Receipt of Seizure
9. Mushak-5ka: Personal Undertaking for Releasing Goods and Vehicle
10. Mushak-6: Application for Registration

Mushak Form

11. Mushak-7: Declaration of Plant, Machinery and Premises
12. Mushak-8: VAT Registration
13. Mushak-9: Application for Change of Status
14. Mushak-10: Application for Cancellation of Registration
15. Mushak-11: VAT Challanpatra
16. Mushak-11ka: Cash memo for Traders
17. Mushak-11kha: Challanpatra Verification Form
18. Mushak-11ga: Inputs Transfer for Contractual Production
19. Mushak-11gha: Challanpatra for Immigration Adviser, Coaching Center and Others
20. Mushak-12: Credit Note

Mushak Form

21. Mushak-12ka: Debit Note
22. Mushak-12kha: VDS Certification
23. Mushak-15: Declaration of Stored Inputs
24. Mushak-16: Purchase Register
25. Mushak-17: Sales Register
26. Mushak-17ka: Purchase and Sales Register for TT
27. Mushak-18: Current Account Register
28. Mushak-19: Return Submission
29. Mushak-20: Application for Export
30. Mushak-21: Application for Enlistment as Established Exporter

Mushak Form

31. Mushak-22: Application for Drawback
32. Mushak-23: Application for Sample Certification
33. Mushak-24: Information Submission for Case to Case Drawback
34. Mushak-25: Certification for Export by Post
35. Mushak-26: Application for Disposal of Unusable Inputs
36. Mushak-27: Application for Disposal of Unsalable Products
37. Mushak-28: Notice for Realization of Arrear
38. Mushak-29: Warrant for Freezing Bank Account
39. TR-31 Form

Mushak Form Related to BdREN

1. Mushak-8: VAT Registration
2. Mushak-11: VAT Challanpatra
3. Mushak-11ka: Cash memo for Traders
4. Mushak-11kha: Challanpatra Verification Form
5. Mushak-12kha: VDS Certification
6. Mushak-19: Return Submission

The Value Added Tax and Supplementary Duty Act, 2012

[Act No. 47 of 2012]

Mushak Form

1. Mushak-2.1: VAT/Turnover Tax Registration Form
2. Mushak-2.3: VAT / Turnover Registration Certificate
3. Mushak-4.3: Input-Output Coefficient Declaration
4. Mushak-6.1: Purchase Book
5. Mushak-6.2: Sales Book
6. Mushak-6.3: Tax Invoice
7. Mushak-6.5: Goods Transfer Invoice under Central Registration Unit
8. Mushak-6.10: Tax Invoice of more than 2 Lakh Purchase/Sale
9. Mushak-9.1: VAT Return Form
10. Mushak-9.2: Turnover Tax Return Form

Mushak Form Related to BdREN

1. Mushak-2.1: VAT/Turnover Tax Registration Form
2. Mushak-2.3: VAT / Turnover Registration Certificate
3. Mushak-6.1: Purchase Book
4. Mushak-6.2: Sales Book
5. Mushak-6.3: Tax Invoice
6. Mushak-9.1: VAT Return Form

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VAT Deduction At Source

Calculation of
Practical VAT, VDS, TDS & Net Payable Amount

Case-1: Bill submitted Excluding VAT

Description	Tk.
Bill Amount (Excluding 5% VAT)	1000
Add. VAT 5% =1000*5%	50
Total	**1050**
TDS (Tax) 2% on base amount =1000*2%	20
Net Payable to Party (1050-50-20)	**980**
VDS (5%)	**50**
TDS (2%)	**20**
Payable to Govt.	**70**

Case-2: Bill submitted Including VAT

Description	Tk.
Bill Amount including 5% VAT	1050
Less: VAT 5% =(1050*5/105)	50
VAT base	1000
TDS (Tax) 2% on base amount=1000*2%	20
Net Payable to Party (1050-50-20)	**980**
VDS (5%)	**50**
TDS (2%)	**20**
Payable to Govt.	**70**

Case-3: Bill Including VAT & Tax

	Tk.
Bill Amount including 5% VAT & 2% Tax	1070
Less: Tax 2% on bill (calculated by party) [Total Bill X (Tax Rate)/(100+VAT Rate + Tax Rate)]	20
Total Bill (including VAT)	**1050**
Less: VAT 5% = (1050*5/105)	50
Actual Bill	1000
TDS (Tax) 2%=1000*2%	20
Net Payable to Party (1070-20-50-20)	**980**
VDS (5%)	**50**
TDS (2%)	**20**
Payable to Govt.	**70**

Case-3: Bill excluding VAT & Tax

Vendor demands Tk. 1500 after tax & VAT

	Tk.
Demanded Amount	1500
Grossing up bill including 2% tax [1500/(100%-2%)]	1531
Add. VAT 15%	**230**
Total Bill	1761
Less: 15% VAT	230
TDS (Tax) 2%=1531*2%	31
Net Payable to Party (1761-230-31)	**1500**
Payable to Govt.	**261**

Problem from Audience

Case-1

Case-2

Case-3

VAT Return Submission


Thank you